

I find that kind of information invaluable. It's how I use measured moves in my trading. I know that price will return to the corrective phase over half the time, so it helps me predict where the stock is going to go.

Trading Tactics

[Table 47.6](#) shows trading tactics for measured move up patterns.

Measure rule. The measure rule predicts the level to which price may rise. To estimate the target price, compute the height of the first leg. Let's use the measured move up shown in [Figure 47.4](#) as an example.

Locate the highest high in the first leg. Usually this is somewhere near the beginning of the corrective phase, and point A indicates this in the figure. From this value (21.13), subtract the lowest low (14.13) in the first leg, shown as point B. The difference (7) is the height of the first leg. Add it to point C (18.38)—or the lowest low in the corrective phase—to arrive at the target price. In this case, the target price is 25.38. Price reaches the target just 10 trading days after the corrective phase ends.